

# Model Bye-laws for PACS: Governance & Legal Framework

*Recommended core ingestion framework issued by the Ministry of Cooperation*

## 1. Overview & Administration

- **Type:** Governance and legal framework.
- **Status:** Recommended core ingestion.
- **Official Source Family:** Ministry of Cooperation – PACS related schemes.
- **Purpose:** Provide a common model framework for PACS governance, diversified business activities, membership, management, and accountability.

## 2. Key Benefits & Support

- **Clearer Governance:** Establishes defined operational structures and boundaries.
- **Business Diversification:** Enables PACS to expand into warehousing, procurement, retail shops, LPG distribution, and common service centres.
- **Standardisation:** Restructures primary cooperatives uniformly for digital systems and national auditing standards.

## 3. Eligibility

### **Institutional Level (Who can adopt):**

- All existing functional Primary Agricultural Credit Societies (PACS) registered under State/UT laws.
- Large-scale Multi-Purpose Cooperative Societies (LAMPS) and Farmers Service Societies (FSS).
- Any newly registered primary agricultural credit cooperative being established at the village level.

### **Individual Level (Who can join a PACS under these rules):**

- **Farmers:** Owner-cultivators, small/marginal farmers, tenant farmers, and sharecroppers.
- **Allied Workers:** Individuals in dairy, fishery, poultry, animal husbandry, and forestry sectors.
- **Rural Workforce:** Landless agricultural labourers, rural artisans, weavers, and craftsmen.
- **Groups:** Self-Help Groups (SHGs) and Joint Liability Groups (JLGs) in the operational area.

## 4. How to Apply (Adoption Process in Simple Steps)

### **Step 1: Download & Review**

- The PACS downloads the official model framework from the Ministry of Cooperation portal.
- Adjust the text to harmonize perfectly with the specific State/UT Cooperative Societies Act.

### **Step 2: Get Board Approval**

- The Board of Directors/Management Committee meets to verify and validate the modified draft.
- The board passes an internal resolution to present the updated bye-laws to the general members.

### **Step 3: Get Member Approval**

- The society issues a formal meeting notice to all eligible members with clear advance timing.
- Convene an Annual General Meeting (AGM) or Special General Meeting (SGM) to vote and pass the text.

### **Step 4: Register with the Government**

- Gather signed copies of the new bye-laws, old rules, general assembly minutes, and the notice.
- Submit the comprehensive application file to the local District/Assistant Registrar within 2 months.
- The Registrar verifies legal alignment and issues an official Registration Certificate.

### **Step 5: Go Live**

- Implement the rules, digitize operations via national ERP systems, and execute diversified business models.

## 5. Documents Required & Regulatory Context

- **Key Documents:** Existing bye-laws, official registration papers, general body notices, meeting minutes, passed resolutions, and applicable State Cooperative Law booklets.

- **Typical Audit Questions:** What constitutes member rights? How are special resolutions executed? What is the legal adoption workflow under local rules?